

TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Prepare a watchlist of stocks.

Use RSI and Supertrend to filter out stocks.

Look for stocks where the RSI is moving towards the 60 level and the Supertrend is turning bullish.

If the price stays above Supertrend and the RSI crosses the 60 level, the **BUY** entry is triggered.

Place **STOPLOSS** at the swing low, keep trailing it at the Supertrend level.

TARGET is on a trailing basis- exit when the price closes below Supertrend.

On 24th August 2021, Reliance Industries broke its sideways range and made a bullish candle. The RSI crossed the 60 level from below and the Supertrend turned bullish. These confluences confirmed that the market was heading towards the upside and the rally was about to begin. The buy entry triggered at the high of the green candle and the initial stoploss was at the Supertrend. We kept trailing it and exited when the price closed below the Supertrend. With this strategy, we booked a profit of 3x the stoploss (1:3 Risk to Reward ratio).